INSIGHT BRIEF · DIGITAL FINANCE · ETHIOPIA

One in five Ethiopian adults already carries a phone but has no account. Most of those phones can't run an app.

The phone is often treated as the bridge to financial inclusion. In Ethiopia, about 15 million adults have already crossed half of it. This brief looks at who they are, what phone they carry, and why they say they have no account.

Analysis and design: Dawit Sileshi

Data: World Bank Global Findex 2025 microdata (survey fielded 2024) · 1,001 Ethiopian adults, weighted

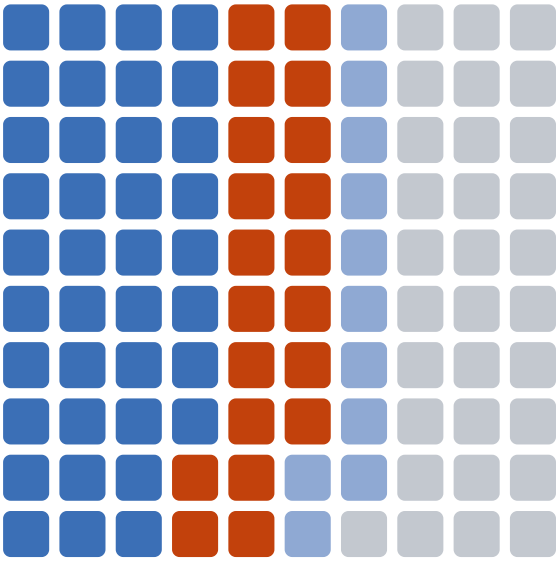
20%
of adults have a mobile phone but no account at a bank or mobile money provider

84%
of that group carry a basic phone, not a smartphone

13%
of that group used the internet in the past three months

Of every 100 Ethiopian adults, 20 are one step away

Phone ownership and account ownership, share of adults (weighted; 1,000 of the 1,001 respondents answered the phone question)



38 Phone and an account

20 Phone but no account

11 Account but no phone

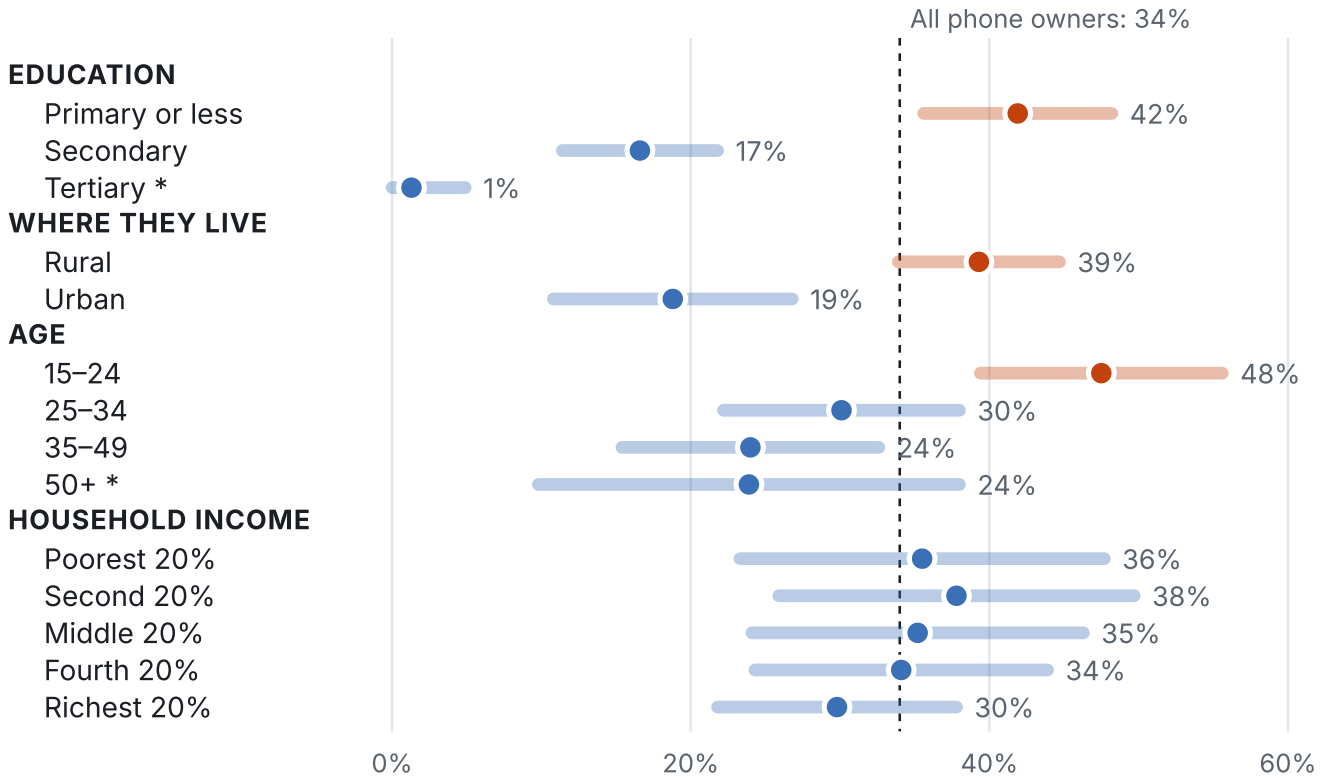
31 Neither

What the data says. 58% of Ethiopian adults own a mobile phone and 49% have an account. The overlap is smaller than those two numbers suggest. Among phone owners, about one in three (34%, ±5 points) has no account of any kind. These 20 in every 100 adults are the closest group to digital finance: the device is already in their pocket.

Why it matters. This group is a different target from the 31% who have neither a phone nor an account. For them, the barrier starts with the device. For the 20%, the device exists and something else is missing. The rest of this brief asks what.

The gap follows education, place and age more than income

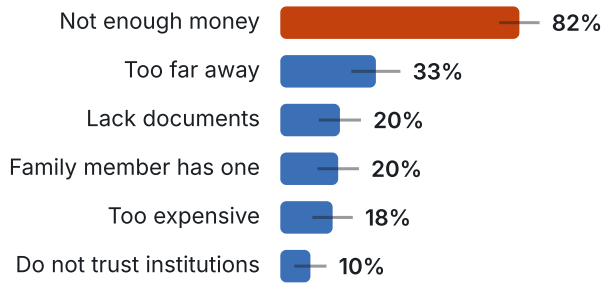
Share of phone owners with no account, by group. Bars show 95% intervals. * fewer than 60 respondents



Across income groups the no-account rate barely moves (30% to 38%, overlapping intervals). It moves sharply with schooling (42% for primary or less, 17% for secondary), place (39% rural, 19% urban) and age (48% for 15–24). So the group is mostly rural (86%) with primary schooling or less (87%).

Most say they don't have enough money

Reasons given for no account, phone owners without one (more than one reason allowed, n = 192)



Lines show 95% intervals. For 37%, lack of money was the only reason given.

What this suggests

Build for the basic phone. With 84% on basic phones and few online, app-only products miss most of this group. USSD menus and agent-assisted sign-up match the phones they actually carry.

Answer the "not enough money" belief. Four in five say they lack money for an account. No-minimum, no-fee accounts, and messaging that an account is for small amounts too, may matter more than new features.

Target rural, young, early-school-leavers. Outreach by schooling and place will find this group more reliably than outreach by income.

SOURCES AND CAVEATS

- Source: World Bank, Global Findex Database 2025, individual microdata (doi.org/10.48529/bk9n-8r43). Ethiopia sample: 1,001 adults aged 15+, interviewed face to face in 2024. All figures use the survey weight; the weighted account rate (48.8%) matches the published figure.
- Small sample: the "phone, no account" group has 192 respondents. Intervals are approximate (effective sample size from weights; clustering not modelled), so read them as a lower bound on uncertainty. The tertiary-educated group (49 respondents) is too small to read on its own.
- Education, place, age and income overlap. This brief shows patterns, not causes; separating them needs a model, not cross-tabs. Reasons are self-reported. Some 15–17 year olds may face age rules for opening accounts. "No account" includes mobile money.
- Context: this complements Shega's September 2026 mobile money diagnostic, which found Ethiopia's inclusion gains mostly bank-led, with wallets often opened as a second account. Full method: see the methods note.